

Session 1 — Corporate Governance: An Overview and the Separation of Ownership and Management

By the end of this session you must know the competing definitions of corporate governance, why the separation of ownership and control emerged historically, how agency theory explains the resulting conflicts of interest, the concrete ways managers can misbehave once that separation exists, and the main families of mechanisms used to keep managerial behaviour aligned with investors' interests.

Plan

1. What Is Corporate Governance? Competing Definitions
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1. What Is Corporate Governance? Competing Definitions

Corporate governance can be defined narrowly or broadly, depending on whose interests the definition puts at the centre. The narrowest definitions focus on shareholders alone, intermediate definitions focus on the board of directors as the governing body, and the broadest definitions bring in the whole set of stakeholders and the legal/institutional environment around the firm. The lecture organises this as a spectrum running from "few" interests considered (shareholders only) to "many" (all stakeholders), with the board of directors as the structural hinge between the two.

Shleifer & Vishny (1996), narrow/finance view: "Corporate governance deals with the ways in which suppliers of finance to corporations ensure themselves a return on their investment."

Sheridan & Kendall (1992), broader view: good corporate governance means structuring, operating and controlling a company so as to (i) fulfil the long-term strategic goals of the owners, (ii) consider the interests of employees (past, present and future), (iii) address the needs of the environment and local community, (iv) maintain strong relations with customers and suppliers, and (v) ensure compliance with all applicable legal and regulatory requirements.

Cadbury Committee (1992), board-centred view: "Corporate governance is the system by which companies are directed and controlled. Boards of directors are responsible for governance. Shareholders appoint the directors and auditors and must ensure that an appropriate governance structure is in place." The board's responsibilities include setting strategic aims, providing leadership, supervising management, and reporting to shareholders on their stewardship; the board's actions are themselves subject to law, regulation and shareholder approval in general meetings.

Blair (1995), systemic/mechanisms view: corporate governance is "the entire set of legal, cultural, and institutional arrangements that determine what publicly traded corporations can do, who controls them, how that control is exercised, and how risks and returns are allocated" — spanning corporation law, boardroom practice, corporate finance, securities and bankruptcy law, financial institutions, labour relations, contract law, property rights, compensation systems and internal information/control systems.

These four definitions are not simply paraphrases of one another: they disagree about who governance is **for**. Shleifer and Vishny reduce the problem to investors recouping their money; Cadbury puts the board at the centre as the accountable body; Blair treats governance as an entire institutional ecosystem rather than a single relationship. This course adopts primarily the Anglo-American "narrow" perspective (public company and agency theory) as its analytical starting point, while flagging that broader, stakeholder-oriented views exist and matter in other institutional contexts (a theme that returns explicitly in later international-comparison sessions).

2. Why Corporate Governance Matters: Two Live Cases

The session opens with two contemporary illustrations chosen to make the ownership/control problem concrete before any theory is introduced.

EssilorLuxottica (2022): when founder Leonardo Del Vecchio died, the world's largest eyewear group faced a succession power struggle. Del Vecchio controlled his stake through the holding company Delfin; his will split Delfin's capital equally among eight heirs (37.5% to his three children with Luciana Nervo, 25% to his two children with Sabina Grossi, 37.5% to his wife Nicoletta Zampillo and her two children). The twist: Delfin's bylaws require 88% approval for any decision, meaning the family must act unanimously to exercise control at all — a governance design that can paralyse decision-making even when ownership itself is not in dispute.

Meta / Mark Zuckerberg: Zuckerberg controls Meta through a dual-class share structure, holding over 50% of the votes with less than 15% of total equity (specifically, he owns 99.8% of Class B shares, giving him control of roughly 58% of voting rights while holding only about 13% of economic ownership). He also holds both the CEO and Chairman roles simultaneously. Despite repeated shareholder proposals to separate these roles, governance changes remain blocked by his voting control; a 2022 proposal to let the Lead Independent Director add agenda items without Zuckerberg's approval won 60% support among non-insider shareholders but still failed, since his own votes dominate the total.

The two cases illustrate two distinct governance risks from the same root cause (concentrated control): EssilorLuxottica shows how concentrated control can produce internal deadlock even without any single controller, while Meta shows how concentrated control can neutralise the board's independent oversight function entirely. Both are used to motivate the central question of the session: who really controls a company, and what happens when governance structures do not answer that question clearly?

3. The Separation of Ownership and Control

3.1 From the Entrepreneur to the Public Company

Historically, ownership and management were united in a single person: the entrepreneur who supplied the capital was also the owner, the director and the manager. Over time, several forces broke this unity apart: company growth outpaced what a single owner-manager could run personally, financial markets became more transparent (making external capital easier to raise and monitor), and running a large company came to require professionalised management skill that founders/owners did not necessarily have. The result, formalised by Berle and Means (1932), is the progressive separation between ownership and control that defines the modern large corporation.

3.2 The Public Company Model

Public company (PC): a listed company whose ownership is so fragmented that no single shareholder holds a stake large enough to make it convenient to take an active part in governing the company.

Because no shareholder has a large enough stake to bother monitoring management directly, public-company shareholders typically do not vote to nominate directors in any meaningful, contested way; instead they "vote with their feet" — selling their shares when they disagree with governance decisions, rather than fighting to change those decisions from the inside. Public companies emerged in the US in the 1930s and remain the dominant ownership structure in Anglo-Saxon countries specifically (a point that matters later in the course, when other countries' models are compared).

In US public companies of the 1960s-70s, boards of directors held what the lecture calls "omnipotent" power: directors were often appointed by the board itself rather than by genuinely independent shareholder action, and many directors were simultaneously top managers of the same company ("inside directors"), with little or no outside representation. With passive shareholders on one side and a self-perpetuating, insider-heavy board on the other, the structural temptation was for directors and managers to act in their own self-interest rather than in the interest of the dispersed small shareholders who nominally owned the company. This is the historical starting point that agency theory was developed to explain.

4. Agency Theory and Agency Costs

Agency relationship: a contract under which a principal delegates to an agent the power to take decisions on the principal's behalf, in order to accomplish some task.

Two consequences follow directly from this definition. First, if both principal and agent are utility maximisers, the agent will probably act in their own interest rather than in the interest of the principal whenever the two diverge. Second, because the principal anticipates this, the principal is compelled to set up safeguard mechanisms — contracts, controls, incentives, guarantees — and these safeguards are often extremely costly to design and operate.

In the corporate governance literature, the relationship between shareholders (principal) and directors/managers (agents) is treated as exactly this kind of agency relationship, and the stated goal of governance is to minimise the resulting costs, given the firm's ownership type and institutional context.

Agency costs = Monitoring costs (principal) + Guarantee/bonding costs (agent) + Residual losses

where:

- Monitoring costs are what the principal (shareholders) spends to observe and constrain the agent's behaviour (e.g. audits, board oversight).
- Guarantee/bonding costs are what the agent (management) spends to credibly commit not to act against the principal's interest (e.g. contractual commitments, reputational bonding).
- Residual losses are the welfare loss that remains even after monitoring and bonding, because no set of contracts and controls can align interests perfectly.

The lecture distinguishes three configurations of the same agency relationship, all built around the chain "shareholders appoint the board, the board appoints and monitors top management":

1. **Dispersed ownership with an independent board** — shareholders appoint the board, the board appoints and monitors top managers, and there is a genuine agency relationship at each link of the chain.
2. **Dispersed ownership with a management-dominated board** — the formal chain is the same, but in practice top managers effectively control the board that is supposed to monitor them, weakening the second link.
3. **Concentrated ownership with overlap between ownership, governance and management** — majority and minority shareholders, the board, and top managers overlap (e.g. a controlling family sits on the board and in management), which raises a different question: alignment of interests between majority and minority shareholders, on top of the classic shareholder-manager agency problem.

Watch out: configuration 3 introduces a second, distinct agency problem (majority vs minority shareholders) that is easy to conflate with the classic shareholder-vs-manager problem of configurations 1-2 — keep the two separate when answering exam questions about concentrated-ownership firms.

5. Managerial Misbehaviours and the Conditions That Enable Them

Once directors and/or top managers can prioritise their personal interests over shareholders' interests, the lecture lists six recurring behaviour patterns:

- **Empire building** — pursuing risky growth over profitability to expand personal power, networking opportunities, compensation and perks.
- **Shirking** — the opposite failure mode: overly risk-averse strategies, minimal effort, lack of commitment.
- **Wealth extraction** — improper practices such as overcompensation, related-party transactions, conflicts of interest, falsified accounts, or outright cash diversion.
- **Entrenchment** — defensive tools that insulate incumbent management/directors from being removed, such as golden parachutes, poison pills, pyramidal groups, and shareholder agreements.
- **Short-termism / window dressing** — excessive short-term focus at the expense of long-term performance.
- **Favouritism/nepotism and insider trading** — transferring benefits to relatives or associates, and trading on private information.

The lecture pairs each objective with the favourable context that makes it more likely to occur in practice, which is worth learning as cause-and-effect rather than as an isolated list:

Objective	Typical actions/decisions	Context that favours it
Personal enrichment	High compensation, ineffective remuneration committee, related-party operations, pyramidal groups, cash "robberies"/out-flows	Internal leadership, networking, exchange of favours, large companies
Shirking	Excess use of perks/benefits, reduced effort	Inefficient markets, low competition
Entrenchment	Statutory defences (staggered boards, supermajority clauses), defensive plans (poison pills, golden parachutes)	Underdeveloped financial markets

Historical governance failures cited in the lecture: Enron (US, 2001, accounting fraud via off-balance-sheet entities and hidden debt — board failed to monitor, auditors colluded); Parmalat (Italy, 2003, €14bn of fake assets and hidden debt — weak board oversight, poor auditing, family dominance); WorldCom (US, 2002, \$11bn of inflated earnings — lack of independent directors, weak internal controls); Satyam (India, 2009, \$1.5bn of false reporting — board failed to question management, weak auditing); Theranos (US, 2015, misrepresentation of blood-testing technology — board lacked relevant expertise, excessive trust placed in the founder).

Across these five cases the lecture identifies a recurring set of governance failure ingredients: ineffective boards (lacking independence or expertise), conflicts of interest among auditors/advisors/dominant families, weak transparency and internal controls, and excessive concentration of power in a CEO or founder.

6. Governance Mechanisms and Control Models

The lecture organises the possible responses to the governance problem into three families, all aimed at the same objective: minimising agency costs and aligning managers' actions with investors' long-term interests.

1. **Make markets efficient and rely on them** — the financial market, the market for corporate control, and the market for top managers all discipline managers indirectly, through pricing and reputational consequences.
2. **Define and impose structures, rules and mechanisms** — board structure (composition, role, working style) and control mechanisms (internal controls/audit, external controls/auditors).
3. **Privilege some ownership structures over others** — e.g. the "pure" public company, blockholding, or institutional-investor ownership, each of which changes the monitoring incentives built into the ownership structure itself.

These three families map onto five concrete mechanisms that recur throughout the rest of the course:

The market for corporate control: the market that reallocates ownership toward whoever believes they can manage the company more efficiently and deliver higher stock performance, through three channels — proxy fights (a dissatisfied shareholder gathers proxies to propose an alternative board slate), friendly takeovers (an agreed reshaping of governance bodies), and hostile takeovers (a raider buys shares at a stated tender price and, on gaining over 50% of voting shares, obtains effective control and can appoint the CEO).

Blockholders: large shareholders who have both an incentive to monitor managers and the power to replace them. Not all blockholders are "good" monitors: they can be tempted to pursue their own interests over minority shareholders' interests (expropriation/misallocation is as plausible as effective monitoring). Institutional investors such as pension and mutual funds (e.g. CalPERS, BlackRock) are the typical example of blockholders considered good "watchdogs."

Passive vs active shareholders: before the 1990s, institutional investors were active stock-pickers but largely passive on governance matters. After the 1990s, the growth of index funds (replicating benchmarks like the S&P 500 or MSCI World) created purely passive investing, while new proxy-voting rules and ESG concerns simultaneously pushed toward more shareholder activism. The result is a paradox: passive investors cannot easily exit a position (they must hold all index constituents), so instead of selling they vote and engage — e.g. Vanguard and BlackRock cannot sell ExxonMobil out of an S&P 500 tracker fund, so instead they use their voting rights at shareholder meetings to push for stronger sustainability and governance policies.

Incentives: ex-ante contracts (stock options, stock grants) designed to align directors' and managers' interests with investors' interests before the fact, since ex-post correction of opportunism is often too late. The lecture flags a genuine trade-off: stock-based incentives also create opportunities for self-dealing. A second, non-contractual incentive is reputation: directors and managers have reputational capital to defend both in the capital market (where they raise money) and in the market for top managers (if they want to keep their job).

Fiduciary duties: legal duties directors owe to the corporation, including the duty of loyalty — to pursue the company's objectives rather than personal interests. Directors' fiduciary duties run to shareholders specifically; the lecture notes there is no equivalent specific legal guidance for other stakeholders' rights. Together with the legal sanctions attached to breaching them, fiduciary duties substitute for financial incentives and help align directors' and shareholders' interests, not least because directors are highly concerned about potential shareholder suits and personal liability.

Financial debt as a governance device: debt differs from equity in that it carries a reimbursement plan and mandatory interest payments, which reduces free cash flow and the managerial discretion to spend it outside

the firm's stated objectives. Debt is not a free lunch, however: it creates conflicts of interest between creditors and shareholders through asset substitution (shareholders are tempted into risky investments because they capture the upside while creditors bear the downside) and debt overhang (a highly indebted firm can lose good investment opportunities because it struggles to find new funding).

Finally, the **legal protection (LLSV) framework** shows that these mechanisms are not equally necessary everywhere: the strength of legal protection for shareholders and creditors varies systematically by legal origin, and this variation shapes which ownership structures are viable in each country.

Legal origin	Antidirector rights (0-5/6)	Creditor rights (0-4)	Efficiency of the judiciary (0-10)	Accounting standards (0-90)
Common law	4.00	3.11	8.15	69.62
French civil law	2.33	1.58	6.56	51.17
German civil law	2.33	2.33	8.54	62.67
Scandinavian civil law	3.00	2.00	10.00	74.00
World average	3.00	2.30	7.67	60.93

LLSV logic: where legal protection of shareholders/creditors is weak, ownership concentration acts as a substitute mechanism — blockholders protect their own interests directly because the law will not reliably do it for them. Where legal protection is strong, dispersed ownership structures become viable, because minority shareholders can trust the law rather than needing to hold a controlling stake to be safe.

This LLSV table is the analytical bridge into the course's later international-comparison sessions (Anglo-Saxon, German, French, Italian, Japanese and Chinese models), which each represent a different real-world combination of legal origin, typical ownership concentration, and dominant governance mechanism.

7. Common Mistakes and Exam Traps

- Treating the four definitions of corporate governance (Shleifer & Vishny, Sheridan & Kendall, Cadbury, Blair) as interchangeable — they differ specifically in **whose** interests are centred (shareholders only, vs board-centred, vs full stakeholder/institutional view).
- Confusing "shareholders vote to nominate directors" with what actually happens in a public company: dispersed shareholders typically "vote with their feet" (sell) rather than exercise real nomination power.
- Forgetting that agency costs have three components (monitoring + bonding + residual losses), not just "the cost of managers behaving badly" — residual losses remain even with monitoring and bonding in place.
- Conflating the shareholder-vs-manager agency problem with the majority-vs-minority shareholder agency problem that appears once ownership is concentrated (configuration 3 in Section 4) — these are two distinct conflicts, both real, but with different principals and agents.
- Mixing up "empire building" (excess risk-taking/growth for personal power) with "shirking" (the opposite: risk-aversion and minimal effort) — they are opposite failure modes, not the same thing.
- Assuming blockholders are automatically good monitors — the lecture explicitly says they can just as easily expropriate minority shareholders.
- Assuming debt is a purely disciplining, risk-free governance mechanism — it also creates its own conflicts (asset substitution, debt overhang).

- Assuming legal protection and ownership concentration are independent choices — LLSV frames ownership concentration as a **substitute** for weak legal protection, i.e. the two move together, not separately.

8. Must Know Absolutely

Must know:

- Four definitions of CG: Shleifer & Vishny (investor returns), Sheridan & Kendall (owners + stakeholders + compliance), Cadbury (board-centred, "directed and controlled"), Blair (entire legal/cultural/institutional system)
- Separation of ownership and control = historical shift from owner-manager to public company (Berle & Means, 1932), driven by growth, market transparency, need for professional management
- Public company (PC) = fragmented ownership, no shareholder large enough to govern actively, shareholders "vote with their feet" instead
- Agency relationship = principal delegates decision power to agent; both are utility maximisers, so interests can diverge and safeguards are costly
- Agency costs = monitoring costs (principal) + guarantee/bonding costs (agent) + residual losses
- Three ownership/board configurations: dispersed + independent board; dispersed + management-dominated board; concentrated + overlapping ownership/board/management (adds majority-vs-minority conflict)
- Six misbehaviour patterns: empire building, shirking, wealth extraction, entrenchment, short-termism/window dressing, favouritism/insider trading
- Three response families: efficient markets; structures/rules/mechanisms; privileged ownership structures — concretised as market for corporate control, blockholders, incentives, fiduciary duties, financial debt
- LLSV: legal protection strength varies by legal origin (common law strongest, French civil law weakest in the table); weak protection → ownership concentration substitutes for law; strong protection → dispersed ownership viable

Watch Out

Watch out: configuration 3 in Section 4 introduces a second, distinct agency problem (majority vs minority shareholders) that is easy to conflate with the classic shareholder-vs-manager problem of configurations 1-2 — keep the two separate when answering exam questions about concentrated-ownership firms.

Watch out: the administrative/logistics slides of "AFM_intro_session 1.pdf" (course team, grading breakdown, group formation rules, deadlines) are deliberately not repeated as exam content in this fiche — they are summarised instead in the course Overview.md and Revision Plan, since they are organisational information rather than examinable governance theory.

Watch out: this fiche is based on Session 1 only. Corporate Governance has just started on Blackboard (single session posted as of this fiche's writing) — sessions 2-23 per the syllabus schedule (definitions of corporate purpose, Enron in depth, board mechanisms, international models, activism, sovereign wealth funds, etc.) are not yet available and will need their own fiches once the corresponding material is posted.